
CA FOUNDATION
ECONOMICS
100 MOST
EXPECTED
QUESTIONS
PRE EXAM
MARATHON
CA Hardik Manchanda

Slope → b ↑ C ↑ - Slope Steeper

*

1) An increase in marginal propensity to consume will:
   a. Lead to the consumption function becoming steeper.
   b. Shift the consumption function upwards.
   c. Shift the consumption function downwards.
   d. Shift the savings function upwards.

2) The value of which work is added in the calculation of GDP?
   a. Housewive's works
   b. A teacher teaching his own child
   c. The value of resale of old shares
   d. Construction of a new house by an artisan

3) Theory of Mercantilism propagates:
   a. Encourage exports and imports
   b. Encourage exports and discourage imports
   c. Discourage exports and imports
   d. Discourage exports and encourage imports

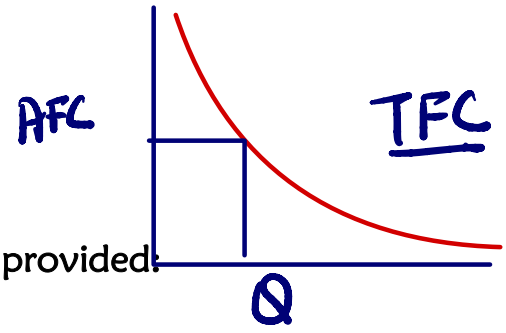
4) Under which market form, the demand curve is steeper as compared to monopolistic competition?
   a. Monopoly
   b. Oligopoly
   c. Perfect Competition
   d. None of these

⇒ Slope ↑ e ↓

e ↑ - Slope ↓

↓ steeper

5) Which of the following cost curves is rectangular hyperbola?
   a. Average cost curve
   b. Marginal cost curve
   c. Average variable cost curve
   d. Average fixed cost curve



6) AVC can fall even when MC is rising, provided:
   a. MC < AVC
   b. MC > AVC
   c. MC = AVC
   d. None of these

M > A, A ↑

A > M, A ↓

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7) Which of the following is not an essential condition of 'Pure Competition'?

a. Large number of Buyers and Sellers
b. Homogeneous Product
c. Freedom of entry
d. Absence of Transport Cost

8) Broad money refers to:

a. M1
b. M2
c. M3
d. M4

9) Business cycle emerge in ____.

a. Socialist economy
b. Free market economy
c. Mixed economic system
d. None of the above

10) Which of the following does not enter into the calculation of national income?

a. Exchange of previously produced goods
b. Exchange of second-hand goods
c. Exchange of stocks and bonds
d. All the above

11) Which market sells both homogeneous as well as differentiated goods?

a. Oligopoly
b. Perfect competition
c. Monopoly
d. None of these

12) The 'substitution effect' takes place due to change in:

a. Income of the consumer
b. Prices of the commodity
c. Relative prices of the commodities
d. All of the above

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13) Which of the following groups of goods have inelastic demand?

a. Salt, Smart Phone and Branded Lipstick
b. School Uniform, Branded Goggles and Smart Phone
c. Salt, School Uniform and Medicine
d. Medicine, Branded Sports Shoes and Diamond ring

14) If the price of a commodity raised by 12% and Ed is (-) 0.63, the expenditure made on the commodity by a consumer will _____

a. Decrease
b. Increase
c. Remain same
d. Can't Say

15) Money cost is considered by:

a. Modern theory of trade
b. Comparative cost advantage
c. New Trade theory
d. Absolute cost advantage

16) Which of the following is a lagging economic indicator?

a. Consumer confidence index
b. Stock market performance
c. Unemployment rate
d. New housing starts

17) The programme of economic reforms in India was started on .....

a. 26th July 1990
b. 23rd July 1992
c. 21st July 1991
d. 24th July 1991

18) The programme of economic reforms in India was started on .....

a. 26th July 1990
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c. 21st July 1991
d. 24th July 1991

Gagandeep Manchanda

19) Brownfield investment refers to:

a. Building new infrastructure
b. Investing in agriculture
c. Buying or leasing existing setups
d. None of these

20) Non-tariff measures that affect product quality and standards are called:

a. Quotas
b. Technical barriers to trade (TBT)
c. Tariff quotas
d. None of these

21) The income received but not earned is part of:

a. National Income
b. Personal Income
c. Factor Income
d. None of the above

22) The 'U' shape of the short-run average cost curve is due to:

a. Fixed inputs
b. Increasing and then diminishing returns
c. Constant returns to scale
d. None of these

23) In the four-sector model, which of the following is not a leakage from the circular flow?

a. Saving
b. Investment
c. Imports
d. None of these

24) The formula for the investment multiplier (k) is:

a. 1 / MPC
b. 1 / APS
c. 1 / (1 - MPC)
d. 1 / (1 + MPC)

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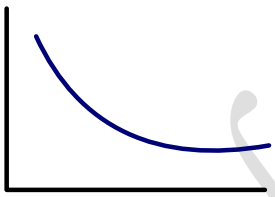
25) Which theory introduced the idea of interest rate influencing money demand?

a. Fisher's theory
b. Cambridge approach
c. Keynesian theory
d. None of these

26) Speculative demand becomes perfectly elastic when:

a. Inflation is zero
b. Interest rate is zero
c. Bond prices fall
d. None of these

Liq. Trap



27) CPI inflation target under current framework is:

a. 5% ± 2%
b. 4% ± 2%
c. 3% ± 1%
d. None of these

- 2 1. 4 1. + 2 1.

2 1. 1

6 1.

28) A dealer sells only two brands of Motorcycle- Royal and Hero. It was observed that when the price of royal rises by 10% the demand for Hero increases by 15%. What is the cross elasticity of Hero against the Price of Royal?

a. + 1.5
b. -1.5
c. 2.5
d. None of these

↓

15/10

29) The type of industry organization that is characterized by recognize interdependence and nonprice competition among firms is called:

a. monopoly.
b. perfect competition.
c. oligopoly.
d. monopolistic competition.

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30) What does Article 246 of the Indian Constitution deal with?

a. The distribution of revenue between the Centre and States
b. The division of legislative powers between the Centre and States
c. The establishment of Panchayati Raj institutions
d. The powers of the President to make laws

31) Which of the following would be an example of a counter-cyclical fiscal policy during a period of recession?

a. Increasing taxes and reducing government spending
b. Cutting taxes and increasing government expenditure
c. Reducing the public debt by increasing savings
d. Avoiding changes in taxes and government spending

32) According to the Quantity Theory of Money, if the money supply increases while the velocity of money and output remain constant, the general price level will:

a. Decrease
b. Increase proportionately
c. Stay the same
d. Increase, but unpredictably

33) According to the Heckscher-Ohlin theory, a country will have a comparative advantage in the production of goods that:

a. Require labour-intensive techniques if the country has a surplus of capital.
b. Utilize abundant factors of production that the country has in large supply.
c. Require advanced technology in which the country is technologically superior.
d. Require high labour costs in a country with low wages.

34) Which of the following is NOT a part of the money supply in an economy?

a. Currency held by the central bank
b. Demand deposits in commercial banks
c. Saving accounts in commercial banks
d. Time deposits in commercial banks

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35) Which of the following statements is true about Giffen goods?

a. All Giffen goods are inferior goods.
b. All inferior goods are Giffen goods.
c. Giffen goods are inferior goods with close substitutes.
d. Giffen goods follow the law of demand.

36) The slope of the budget line is determined by the relative prices of the two goods and is equal to:

$\frac{P_x}{P_y}$

a. Total expenditure of two goods
b. The price ratio of two goods
c. The income level of the consumer
d. The marginal utility of the goods

37) When average product rises as a result of an increase in the quantity of variable input, marginal product is:

AP ↑
M > A

a. less than the average product
b. equal to the average product
c. minimum
d. more than the average product

38) If a firm adds more number of workers but total output starts to increase at a decreasing rate, the firm is experiencing:

MP ↓

a. Increasing Returns to Scale
b. Diminishing Marginal Returns
c. Constant Returns to Scale
d. Negative Marginal Returns

39) Under which of the following forms of market structure a firm cannot influence the price of its product?

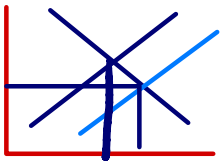
a. Monopoly
b. Oligopoly
c. Perfect competition
d. Monopolistic competition

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40) What is the Average Variable Cost (AVC) when the quantity produced is 100 units, the total cost is Rs. 1,000, and the fixed cost is 200?

a. Rs. 5
b. Rs. 8
c. Rs. 10
d. Rs. 12

VC - 800
AVC: 800/100



P↓ Q↑

41) In an increase in supply with unchanged demand: Surplus

a. The equilibrium price will go down and the quantity demanded will go up.
b. The equilibrium price will go up and the quantity demanded will go down.
c. The equilibrium price will go up and the quantity demanded will remain constant.
d. The equilibrium price will go down and the quantity demanded will also go down.

42) Which of the following is a fundamental cause for the creation of a monopoly?

a. Barriers to entry
b. Low startup costs
c. High competition
d. Equal distribution of resources

43) When both demand and supply decrease, the equilibrium quantity ↓ but the change in equilibrium price is _____.

a. decreases, uncertain
b. increases, constant
c. increases, uncertain
d. decreases, constant

44) Suppose that the cost of producing 1,000 units of a product by a Firm is Rs. 15,000. The entrepreneur has invested Rs. 50,000 in the business and the normal rate of return in the market is 10%. What will be the implicit cost?

a. Rs. 5,000
b. Rs. 1,500
c. Rs. 6,500
d. Rs. 2,000

5000

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Consider the following data and answer the Questions No. 45 to 47:

Financial Year (FY)	2020-21	2021-22	2022-23	2023-24
GDP Deflator	100	154.25	168.40	148.25

45) What will be the inflation rate in FY 2022-23 as compared to FY 2021-22?

a. 9.54%
b. 8.76%
c. 9.17%
d. 7.44%

$\frac{14.15}{154.25} \times 100$

46) In which FY the nominal GDP and real GDP are the same?

a. FY 2021-22
b. FY 2022-23
c. FY 2020-21
d. FY 2023-24

47) In which FY the price level has fallen?

a. FY 2020-21
b. FY 2023-24
c. FY 2022-23
d. FY 2021-22

48) The maximum value of investment multiplier will be the infinity when the value of:

a. MPC is 1.
b. MPC is -1.
c. APC is 1.
d. MPS is -1.

1

$\frac{1}{MPS}$ $\frac{1}{0} = \infty$ MPC: 0

=1 MPC: 1

49) There are three different interlinked phases in a circular flow of income, namely:

a. Production, consumption and disposition
b. Production, consumption and investment
c. Production, disposition and distribution
d. Production, expenditure and disposition

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50) Calculate the net factor income from abroad from the following data:

Particulars	Amount (₹) in crores
NDP_{MP}	10,000
NNP_{MP}	12,000
Net indirect tax	400
Depreciation	200

N = D + NFIA

a. Rs. 2,400 crores
b. Rs. 2,000 crores
c. Rs. 3,600 crores
d. Rs. 1,800 crores

51) If the GDP deflator is greater than 100, it indicates that:
a. Real GDP is greater than nominal GDP.
b. Nominal GDP is greater than real GDP.
c. Price levels are lower as compared to the base year.
d. Real GDP is equal to nominal GDP

52) Gamma Ltd., a South Korean company, earns profits from its manufacturing operations in India. How these profits will be reflected in the economic measures of both countries?
a. They will be included in India's GDP and South Korea's GDP.
b. They will be included in India's GDP but not in South Korea's GNP.
c. They will be included in India's GDP and South Korea's GNP.
d. They will be included only in India's GNP.

53) If national income increases from Rs. 500 crores to Rs. 2,500 crores due to an increase in investment of Rs. 200 crores, what will be the value of the Marginal Propensity to Consume (MPC)?
a. 0.90
b. 0.85
c. 0.75
d. 0.95

$\frac{\Delta Y}{\Delta I} = \frac{2000}{200} = 10$

$K = \frac{1}{MPS}$ $\quad 10 = \frac{1}{MPS}$

$= \frac{1}{10} = 0.1$

MPC : 0.9

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54) Which of the following best describes the economic conditions during bad trade in a business cycle?

a. Rising prices and low unemployment rate.
b. Falling prices and high unemployment rate.
c. High consumer confidence and rising wages.
d. Increasing demand and production.

55) Which of the following is true about the duration and intensity of business cycles?

a. Business cycles have a fixed duration and intensity.
b. Business cycles exhibit the same duration and intensity across all economies.
c. Business cycles varies in duration and intensity, but they share common features.
d. Business cycles do not vary in duration or intensity.

56) What does Article 275 of the Indian Constitution deal with?

a. Surcharge on certain duties and taxes for purposes of the union.
b. Statutory grants-in-aid from the union to certain states.
c. Grants for any public purpose.
d. Loans for any public purpose

57) Who introduced the concept of 'collective consumption goods, which later came to be known as public goods?

a. Milton Friedman
b. John Maynard Keynes
c. Paul A. Samuelson
d. Adam Smith

58) The government's use of proceeds from progressive taxes to supply essential food grains at highly subsidized prices to BPL households is an example of:

a. Allocation Function
b. Stabilization Function
c. Redistribution Function
d. Production Function

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59) The Right of Children to Free and Compulsory Education Act, 2009, which mandates free and compulsory education for every child between the ages of six to fourteen years, is an example of:

a. Government Intervention in the case of Merit Goods.
b. Government Intervention in the case of Demerit Goods.
c. Government Intervention in the case of Public Goods.
d. Government Intervention to correct Externalities.

60) Under Article 266(1) of the Constitution of India, which of the following is used in relation to all fund flows where the government acts as a banker?

a. Public Account
b. Consolidated Fund
c. Contingency Fund
d. State Development Fund

61) The situation when the market does not supply products at all despite the fact that such products and services are wanted by the people is known as:

a. Temporary market failure
b. Complete market failure
c. Partial market failure
d. Relative market failure

62) Which of the following is not a quantitative tool as used by RBI to control the money supply in the entire economy?

a. Open Market Operations
b. Statutory Liquidity Ratio
c. Selective Credit Control
d. Cash Reserve Ratio

63) What is the primary objective of monetary policy in most countries, including India?

a. To ensure a high level of government spending.
b. To maintain a balance between price stability and economic growth.
c. To promote export-led growth.
d. To control exchange rates at all costs.

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64) Calculate Broad Money (M3) from the following data:

Particulars	(₹ in Crores)
Currency with the public	2250
Demand Deposits with the banking system	630
Total post office deposits	478
Time deposits with banks	535
Savings deposits with Post office savings banks	312

a. 3,415 crores
b. 3,225 crores
c. 3,260 crores
d. 3,420 crores

65) Who proposed that a country should export goods in which it has the greatest absolute advantage and import goods in which its absolute advantage is comparatively less?
a. Adam Smith
b. David Ricardo
c. Eli Heckscher and Bertil Ohlin
d. John Maynard Keynes

66) Which of the following is NOT an example of Technical Barriers to Trade (TBT)?
a. Eco-labelling
b. Quality standards
c. Import quotas
d. Organic certification

67) A U.S. based cell phone service provider expands its operations in India by offering the same telecommunication services as it does in the U.S. This type of investment is an example of:
a. Horizontal direct investment
b. Vertical investment
c. Conglomerate Investment
d. Two-way direct foreign investment

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68) Foreign Investment Promotion Board (FIPB) was abolished in May 2017 and which of the following replaced it?

a. Foreign Investor Promotion Portal (FIPP).
b. Foreign Investment Facilitation Portal (FIFP)
c. Foreign Direct Investment Portal (FDIP)
d. Foreign Direct Investment Promotion Portal (FDIPP)

69) The _____includes a stable and transparent tax structure, better tax compliance, reduction of subsidies and encouragement of private sector participation.

a. Fiscal Reforms
b. Capital Market Reforms
c. Trade Policy Reforms
d. Monetary and Financial Sector Reforms

70) Which policy replaced the Merchandise Exports from India Scheme (MEIS) in 2021?

a. NDAP
b. GST
c. PLI Scheme
d. RoDTEP

71) Which initiative by NITI Aayog aims to promote electric vehicles?

a. E-Amrit
b. Shoonya Campaign
c. Methanol Economy Program
d. India Policy Insights (IPI)

72) A tariff that is set so high that no imports can enter is known as _____

a. Prohibitive Tariff
b. Bound Tariff
c. Escalated Tariff
d. Variable Tariff

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73) The value of the product or service is enhanced as the number of individuals using it increases. What effect is this?

a. Veblen Effect
b. Bandwagon Effect
c. Income Effect
d. Snob Effect

74) In the Theory of Comparative Costs, which of the following statements are true?

I. It is based on money cost which is more realistic
II. It is Positive in Nature
III. It is Normative in nature
IV. Do not take into account the factor price differences

a. I and II are correct
b. III and IV are correct
c. II and IV are correct
d. I and IV are correct

75) What is the likely impact of an increase in the Time Deposit to Demand Deposit (TD/DD) ratio on the banking system and monetary expansion?

a. It leads to higher availability of free reserves and consequent enlargement of volume of multiple deposit expansion and monetary expansion.
b. It reduces the availability of free reserves, thereby restricting the process of monetary expansion.
c. It has no impact on the banking system as time deposits and demand deposits are interchangeable.
d. It directly reduces the money supply as time deposits are not considered part of the money supply.

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76) Calculate currency with Public from following Data (Rs. in lakhs)

Notes in Circulation	2,59,121
Coins in Circulation	23,345
Cash on hands with Banks	19,009
Coin on hands with Banks	909

a. 3,02,384
b. 2,62,548
c. 2,53,876
d. 2,15,858

77) Which of the following is not true regarding the fiscal policy of Government?
a. It is deliberate policy of Government.
b. An economy producing full employment does not require Government action in the form of fiscal policy.
c. Taxation policy is part of Fiscal policy.
d. Fiscal Policy is supply side policy.

78) Which of the following is not a characteristic of Public Goods?
a. Non-rival in consumption
b. Indivisibility
c. More vulnerable to externalities
d. Excludable

79) Under the Keynesian theory of determination of national income, the assumption is that the consumption increases with an increase in disposable income but the increase in consumption will be _____ the increase in disposable income.
a. Equal to
b. Opposite to
c. Greater than
d. Less than

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80) Which of the following is included in the calculation of Personal Income under the concept of National Income?

a. Unemployment Compensation
b. Retained Earnings
c. Indirect Business Taxes
d. Contribution towards Social Security

81) Which of the following is an indicator of the standard of living of a country under the concept of National Income?

Per cap GDP

a. Personal Income
b. Disposable Personal Income
c. Per Capita Income
d. GDP at factor cost

82) Under second degree price discrimination, different prices are charged for

a. Each individual consumer
b. Customer segment
c. Location
d. Different quantities sold

83) A firm should not produce at all if:

a. AR is greater than minimum AVC
b. AR is equal to ATC
c. If its total variable costs are not met
d. AR is greater than ATC

84) Calculate Marginal Revenue (MR) when Average Revenue (AR) = 45 and price elasticity of demand (e) = 3.

a. 15
b. 30
c. 25
d. 135

$MR = AR \times \frac{e-1}{e}$

$= 45 \times \frac{3-1}{3}$

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85) The minimum quantities of various inputs that are required to yield a given quantity of output is termed as:

a. Demand function
b. Supply function
c. Production function
d. Investment function

86) _____ sector is the largest recipient of FDI inflows in India

a. Agriculture
b. Industrial
c. Service
d. Secondary

87) _____ is a one stop for investor related approvals and services in the country and aims to provide continuous facilitations and support to investors

a. FAME India scheme
b. Udyami Bharat
c. National single window system
d. PM Gati Shakti national master plan

88) _____ is not concerned with either the manufacture of goods or with the provision of services

a. Foreign Direct Investment
b. Foreign Portfolio Investment
c. Reciprocal FDI
d. All of the above

89) ___ beings in more currency and monetary stability and credibility but lacks flexibility. On the contrary, _____ has greater policy flexibility but lacks stability.

a. Fixed rate; floating rate
b. Floating rate; fixed rate
c. Free floating; managed floating
d. Managed floating; free floating

CA Harish Maheshwanda

90) As per which guiding principle of WTO, if a country grants someone a special favor then that country has to do the same for all other WTO members.

a. Most-favored-nation Principle
b. National Treatment Principle
c. Principle of Freer trade
d. None of the above

91) The tariff on a product increase as that product moves through the value-added chain

a. Preferential Tariff
b. Escalated Tariff
c. Applied Tariff
d. Technical Tariff

92) "Countries well-endowed with capital such as factories and machinery should export capital intensive products while those endowed with labour should export labour intensive products". Which international trade theory is referred here?

a. Mercantilists' View of International Trade
b. Theory of Absolute Advantage
c. Theory of Comparative Advantage
d. Heckscher-Ohlin Theory of Trade

93) Inflation target is set by Govt. of India, in consultation with RBI, once in every ___ years.

a. 2
b. 5
c. 3
d. 4

94) Inventory Theoretic Approach was given by_____.

a. JM Keynes
b. Milton Friedman
c. Irving Fisher
d. Baumol & Tobin

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95) In the equation, MV = PT, Demand for money is denoted by_____.
a. MV
b. M
c. PT
d. T

96) An expansionary fiscal policy is used for:
a. Reduction in inflation
b. Increase in exports
c. Appreciation of currency
d. Close the recessionary gap

97) The concept of Pollution Tax was given by_____.
a. AC Pigou
b. JM Keynes
c. Adam Smith
d. George Akerlof

98) Who can levy taxes on agricultural income?
a. State Government
b. Central Government
c. Both a & b
d. None of the above

99) An increase in investment by 1000 Crores leads to an increase in national income by 2500 Crores. What will be the Marginal Propensity to Consume (MPC)?
a. 2.5
b. 0.6
c. 0.4
d. None of these

$k = \frac{2500}{1000} = 2.5$

$2.5 = \frac{1}{MP} = 0.4$

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100) Exam kaisa jayega?

a. Badiyaa
b. Bhot hi badiyaa
c. Bhot jyada hi badiyaa
d. Bhot bhot jyada hi badiyaa

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